WHY 4ORM, AND WHY NOW

The record does not exist. The law now assumes it does.

Nobody set out to build a financial system where the reasoning behind a consumer decision disappears the moment it is made. It happened one sensible decision at a time, over thirty years. This document explains how, what it costs the four parties who live with it, and why the window to fix it is open right now rather than at some point in the future.

100%
OF MORTGAGE FILES IN A TARGETED FSRA REVIEW LACKED DOCUMENTED SUITABILITY

26,000+
OBSI CONSUMER INQUIRIES IN 2025, UP NEARLY 60 PER CENT

8 SEP 2025
THE DAY EVIDENCE STOPPED BEING GOOD PRACTICE AND BECAME LAW

$10M
MAXIMUM PENALTY FOR A VERY SERIOUS VIOLATION, RPAR S. 48

The pain
Four parties, one missing artefact
Sections 3 to 5

The gap
Every piece exists. Nothing holds the join
Sections 1 and 2

The threat
Complaints up 60% and a duty already running
Section 6

The opportunity
Old obligations, new standard of proof
Sections 7 and 8

Mortgage brokering · Automotive finance · Regulated payments · Real estate trust accounts · Investments · Insurance · Consumers, at no charge

This is not an argument that a new obligation has been created.

The obligations are decades old. What changed is the standard of proof, and in one market it changed on a specific day, in writing, with a penalty attached.

1 SEPTEMBER 2026 · CONFIDENTIAL · CANADA · 4ORM FINANCE LTD, CALGARY

Note. Canadian dollars throughout unless labelled otherwise. Regulatory references describe public frameworks and do not imply approval, endorsement or partnership by any regulator. Every figure traces to the source register at the back.

CONTENTS

How it happened, what it costs, and why the window is open now

Sections 1 and 2 explain the origin. Sections 3 to 5 are the pain, party by party. Sections 6 to 8 are the threat, the change in the law, and what becomes possible.

The three claims this document stands or falls on.

Canadian regulators have converged on a requirement to evidence the reasoning behind a consumer financial decision. No software category exists to produce that evidence. And the earliest statutory deadline is already counting. If any one of those is wrong, so is everything that follows.

SECTION 1 · THE ORIGIN

1.1 How the record went missing

The reasoning behind a consumer financial decision used to survive, badly, in one place. Then every step of the transaction was improved separately, and the thing that connected them was the only part nobody owned.

Era	What changed	What it did to the record
Before the 1990s	One file, on paper, held by one firm. The broker's notes, the application and the signed documents lived in the same folder	Poor, slow and easily lost, but whole. The reasoning sat beside the outcome it produced
The 1990s and 2000s	Each step was digitised on its own: origination here, documents there, accounting somewhere else, each chosen by a different department for a different reason	The folder was broken into systems that were never designed to be read together
The 2010s	Speed became the product. Approvals compressed from weeks to hours, and the industry optimised for time to close	Explanation moved into conversation, because conversation is faster than writing. Nothing captured it
The 2020s	Volume and rate pressure, remote transactions, and more parties touching a single file than ever	The reasoning now lives across email, phone calls and one person's memory, and travels with that person when they leave
Today	**Regulators ask firms to demonstrate the assessment rather than assert it**	**The demonstration is assembled after the question is asked, by the party being asked**

Legend. No participant behaved unreasonably at any stage. Each improvement was rational on its own terms, and each one moved a piece of the record further from the others.

The four things that fell out of the file on the way

What they wanted
Kept as a product choice, not a goal or a worry

What was compared
Alternatives discussed, then discarded unrecorded

Why this one suited them
The one sentence everybody later asks for

What they understood
Signature proves execution, never comprehension

The record was never deleted. It was never assembled in the first place.

That distinction matters, because it means the failure is not one of diligence or of care. It is an architectural gap, and architectural gaps do not close on their own.

SECTION 2 · THE ORIGIN

2.1 Why nobody fixed it

A gap this visible, in a market this regulated, staying open this long demands an explanation. There are four, and none of them is negligence.

1 Nobody's job

Origination is measured on funded volume, the document vendor on signatures, accounting on a clean reconciliation. A record spanning all three improves nobody's own number.

2 Assertion was enough

For decades a firm satisfied supervision by describing its process and producing the forms. A checklist that closes the file removes the reason to capture reasoning.

3 The cost was invisible

Reconstruction is absorbed as ordinary work. A few days here, a complaint there, a slightly higher premium. It appears on no budget line, so nothing triggers a decision.

4 The duties are scattered

Suitability, disclosure, consent, retention, supervision and safeguarding sit under different instruments. Meeting them all separately still produces no single artefact.

What is different now

What used to be true	What is true now
Describing the process satisfied the examination	The file is asked to demonstrate the assessment, and 100 per cent of a targeted FSRA sample could not
Evidence expectations were supervisory practice	In payments the expectation is written into the Regulations, with a daily frequency and a stated penalty
Complaints were absorbed at roughly steady volume	OBSI inquiries rose to more than 26,000 in 2025, up nearly 60 per cent, with investigations up 90 per cent
Building this required an integration project per customer	**Connectivity to the underlying systems is now ordinary infrastructure rather than a bespoke build**

Legend. The first three are pressure. The fourth is why the response is now buildable at a price a mid-sized firm can pay, which is the part that was missing until recently.

Three of the four are pressure. The fourth is why a response is now buildable.

Connecting to the systems where the evidence already sits used to be a bespoke project priced per customer. That is the change that turns a known gap into something a mid-sized firm can actually buy.

SOURCES FSRA supervision plan 2025-26 · OBSI 2025 Annual Report

SECTION 3 · THE PAIN

3.1 What it costs the consumer

The person with the most at stake in the transaction is the only participant who leaves it with nothing. No copy of the reasoning, no record of what was compared, and no way to establish what they were told.

What the consumer experiences	What is actually happening
Being asked to decide before understanding	The explanation is given verbally under time pressure, and nothing captures it. The decision is recorded; the understanding is not
Sending the same documents four times	Each participant collects the facts separately because no participant can rely on another's copy. The consumer becomes the integration layer
Never learning why this product and not another	The comparison happened in somebody's head. The file records the outcome, so the reasoning cannot be revisited even by the person who made it
Finding out late that something changed	Circumstances move and nobody re-runs the recommendation, because there is no dated baseline to re-run it against
A dispute that becomes their word against the firm's	**Both sides reconstruct from memory. The party with better records prevails, and it is not the consumer**

Where the pain shows up in the numbers, 2024 against 2025

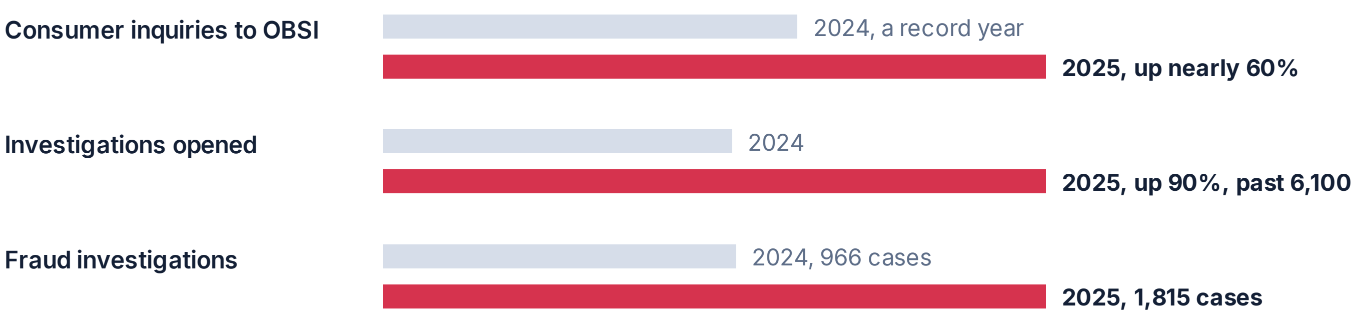


Chart. The first two rows are drawn to the published movement rather than to an absolute count. Fraud was the leading issue in consumer banking complaints, at about a third of banking cases. Complaint volume is not proof of misconduct: it measures how often a matter cannot be closed from the file.

What the consumer is actually asking for, in their own words

- Tell me what this means before I sign
- Show me what else I could have done
- Why this one, for me
- Let me keep a copy of that
- Stop making me repeat myself
- Tell me if something changes

SOURCES OBSI 2025 Annual Report · Canadian Anti-Fraud Centre

SECTION 4 · THE PAIN

4.1 What it costs the professional and the firm

The professional carries the duty personally. The firm carries the liability. Neither controls the systems where the evidence of having discharged it would have to live.

Where it lands	What it costs today	Who absorbs it
An examination	Two people pulled off their work for days to rebuild files from an inbox, a drive and recollection	The firm, in hours nobody budgets for
A complaint	Weeks of reconstruction, and an outcome decided by whoever documented more at the time	The professional personally, and the firm's record
Indemnity renewal	Argued from assertion rather than from a dated file, because no dated file exists	The owner, in premium
Staff turnover	The reasoning behind live files leaves with the person who holds it	Whoever inherits the client
A sale or a wind-down	**A buyer cannot diligence transaction quality, so it is priced as risk**	**The owner, at exit**

Legend. None of this appears as a line item. It is absorbed as ordinary operating work, which is exactly why it persists: an invisible cost triggers no decision.

100%
OF ENTITIES EXAMINED SHOWED INADEQUATE SUPERVISION OF BROKERING ACTIVITIES

$1.2M
FSRA MONETARY PENALTIES ACROSS 100 ENFORCEMENT ACTIONS, FY2024-25

25
LICENCES REVOKED OR REFUSED IN THE SAME PERIOD

$1.9M
OMVIC FINES LEVIED AGAINST REGISTRANTS IN 2025

FSRA is the Financial Services Regulatory Authority of Ontario and OMVIC the Ontario Motor Vehicle Industry Council. FSRA's supervisory findings are targeted results on selected entities, not a claim about every firm in the province.

What the firm is already paying for this, with no budget line for any of it

Outsourced file review
Finds the gaps a record would have prevented

Compliance consulting
Describes a process, because describing is the substitute

Indemnity premium
Priced against matters lost on paperwork, not conduct

Reconstruction hours
The largest of the four, and never invoiced

SOURCES FSRA enforcement annual report · FSRA supervision plan 2025-26

SECTION 5 · THE PAIN

5.1 What it costs the regulator

A supervisor asking whether a decision suited a consumer receives a file assembled after the question was asked, by the party being asked. That is the constraint every finding below is describing.

Body	What supervision found	Period
FSRA, mortgage brokering	No documented suitability assessment in 100 per cent of files reviewed in targeted work, against 85 per cent the prior year	2024-25
CSA and CIRO	105 firms reviewed, with inadequate documentation of suitability determinations identified as a recurring deficiency	Staff Notice 31-368
RECO, real estate	2,878 complaints opened, up 88 per cent. Mandatory annual financial filing from 1 October 2026, monthly trust reconciliation planned for 2027	2025
FCAC, federally regulated banks	**268,718 complaint reports received, 392 reportable compliance issues, 190 Notices of Breach, and more than $38 million reimbursed across 745,000 accounts**	**2024-25**

Legend. CSA is the Canadian Securities Administrators, CIRO the Canadian Investment Regulatory Organization, RECO the Real Estate Council of Ontario and FCAC the Financial Consumer Agency of Canada.

Files with no documented suitability

The regulator naming the risk in its own words.

FCAC lists **inappropriate financial products and services, lack of or ineffective disclosures, and mis-selling** among the market conduct risks it supervises against. None of those can be detected, or ruled out, from a file that records only outcomes.

What a supervisor cannot distinguish from an outcome-only file

A good decision recorded badly	From a poor decision presented well. Both produce the same file, which is why the finding is about documentation rather than conduct
A reasonable recommendation overtaken by events	From one that was unsuitable when it was made. Without a dated baseline the two are indistinguishable afterwards

Nothing in these findings says the advice was wrong.

Each says the file could not show whether it was. That is a different finding, and it is the one a record is built to answer.

SOURCES CSA and CIRO Staff Notice 31-368 · FCAC annual report 2024-25 · RECO annual financial filing

SECTION 6 · THE THREAT

6.1 What it costs when the record is not there

The gap is tolerable right up until the moment somebody asks a question the file cannot answer. Three examples, at three different scales, of what that moment costs.

> "Its ledgers proved so compromised that basic questions of asset ownership became unanswerable."
> SYNAPSE FINANCIAL TECHNOLOGIES, UNITED STATES · YALE JOURNAL OF INTERNATIONAL AFFAIRS

The event	The scale	What made it unrecoverable
A United States payments intermediary fails	More than 100,000 customers locked out of more than $265 million	The firm's record of who was owed what had stopped matching the bank, and no dated version existed to reconstruct it from
United Kingdom motor finance redress	£9.1 billion across 12.1 million agreements, confirmed March 2026	Liability turned on whether disclosure of commission arrangements could be evidenced, transaction by transaction, years later
An Ontario complaint or examination	**Days of reconstruction, penalties across 100 FSRA enforcement actions, 25 licences revoked or refused**	**The file recorded the outcome and not the reasoning, so the firm could only assert what it had done**

Legend. Neither foreign example is Canadian law or precedent here. They are included because they are the clearest available measures of what an unevidenced consumer transaction costs once it is priced at scale.

A gap cannot be filled later | Every closed file is still open | The standard is rising, not the conduct | The stock of unevidenced transactions grows monthly

Why the exposure grows rather than ages out

A gap cannot be filled later	The obligation attaches to a day. A firm that starts recording in 2027 has no lawful way to produce the position as it stood on a day in 2026, and no amount of later diligence creates it
Every closed transaction is still open	Complaints, examinations and claims arrive years after the file closes. The stock of transactions with no record behind them grows with every month that passes
The standard is rising, not the conduct	Firms are not behaving worse. They are being asked a question they were never built to answer, and being asked it more often

The pattern in all three is identical.

Nothing was wrong with the transaction on the day. What was missing was the ability to show, afterwards, what had been true at the time.

SOURCES FCA PS26/3, motor finance redress · Yale Journal of International Affairs

SECTION 7 · THE LAW

7.1 What changed, and the day it changed

In four Canadian markets the standard moved from describing a process to producing evidence of it. In one of them it stopped being a supervisory expectation altogether and became a daily statutory duty.

> "...the amount of funds belonging to each of those end users that is held by the payment service provider at the end of each day."
>
> RETAIL PAYMENT ACTIVITIES REGULATIONS, SOR/2023-229, S. 13

Every one of these moves in the same direction, and none moves back. The 2028 marker carries management's reading of when the clock starts: the Regulations set a frequency and do not anchor it, so each firm's date is treated as running from when the duty attached to that firm.

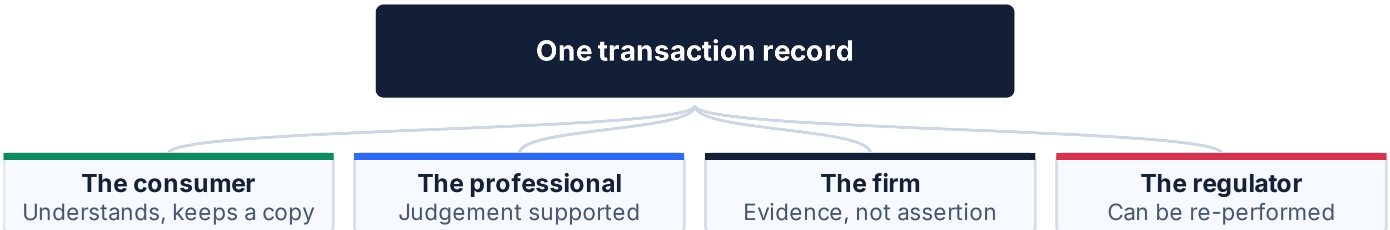
The question	What the instrument says
Who owes the duty	Only a provider performing the holding of end user funds. Holding is one of five prescribed payment functions and the only one that triggers it. RPAA s. 2(b)
Must the reviewer be external	No. The Bank of Canada guideline permits a sufficiently skilled individual, internal or external, provided they had no role in the framework. Guideline s. 5.3
What a violation can cost	**Up to $1,000,000 for a serious violation and up to $10,000,000 for a very serious one, set against harm, history and intent. RPAR ss. 48 and 49**

SOURCES Retail Payment Activities Regulations · Order fixing coming into force, SI/2023-70 · Bank of Canada, Safeguarding end-user funds

SECTION 8 · THE OPPORTUNITY

8.1 What becomes possible, and for whom

The same record answers four different questions at once, which is the whole reason one piece of infrastructure can serve parties whose interests usually run against each other.



Party	What it replaces
The consumer	A verbal explanation that survives nowhere, and a signature that proves nothing about understanding
The professional	Personal exposure on a file whose evidence lives in an inbox they do not control
The firm	Days of reconstruction per examination, and an indemnity renewal argued from assertion
The regulator	**A file assembled after the question was asked, by the party being asked**

Legend. The consumer is never charged. The regulated business pays, which is what keeps the consumer layer free and independent of the party being examined.

Why this is one company rather than four products

The evidence architecture does not change between markets	What changes is the rule set it is measured against, which is content rather than a second product. A mortgage suitability assessment and a daily safeguarding position are the same engine pointed at different obligations
The hardest part is the join, and the join is universal	Identity, permissions, provenance, versions, options, consequences, acknowledgement and evidence generation are common to every regulated consumer transaction in the country
Distribution is already organised	These markets sit inside networks, franchisors and dealer groups. One relationship reaches hundreds of firms, which is why this does not have to be sold one office at a time

The obligations are old. The requirement to prove them is new. Nothing on the market was built for the second one.

That is the entire opening, and it is open now because the duty is already running while the response does not yet exist.

SECTION 8 · THE OPPORTUNITY

8.2 Why now, and not three years either side of now

Timing arguments are usually decoration. This one is arithmetic, because the duty attaches to days that are passing whether or not anybody is recording them.

Why not earlier	Why not later
The duty did not exist. Before September 2025 there was no daily safeguarding record to produce and no statutory penalty behind it	The record cannot be created backwards. Every month without one is a month that can never be evidenced
Supervision accepted a described process, so a firm buying this would have been buying something nobody was asking it for	Deadlines arrive firm by firm from 2028 and the pipeline never empties, so the firms that start last are the ones with gaps
Connecting to the underlying systems was a bespoke project per customer and priced accordingly	Once a category has a recognised leader, a regulated firm's default is to buy the one its peers already reference
The consumer had no habit of checking anything before committing money	**Consumer trust compounds slowly and cannot be bought later at any price**

Legend. The first column is why this was not a business in 2022. The second is why it is harder to start in 2029 than it is today.

> **What would make this wrong.**
>
> If a named Canadian product already assembles intent, options, reasoning, disclosure, acknowledgement and outcome into one re-performable record, the market has been misread. If supervision returns to accepting reconstruction, the urgency is overstated, though the safeguarding duty is unaffected either way. Both are worth arguing, and both are cheaper to settle now than later.

What has to be true for this to work, stated plainly

Firms will pay for evidence rather than for speed	The purchase is a substitution against file review, consulting, premium and reconstruction hours already being spent. It is not a request for a new budget line
The record can be built from systems firms already run	If it needs a bespoke integration per customer, the economics do not work at the size of firm that needs it most
One architecture carries into a second market	Measured in code rather than asserted. If it does not, this narrows to one vertical and the plan changes

Nobody can buy last year's records.

That single sentence is the whole timing argument, and it is the only one in this document that does not depend on a forecast.

APPENDIX A · SOURCE REGISTER

Every source used in this document

Grouped by the body that published it. Links are live in the electronic version. Access dates are August and September 2026.

Statute, regulations and the Bank of Canada

Retail Payment Activities Act	laws-lois.justice.gc.ca, R-7.36
Retail Payment Activities Regulations, SOR/2023-229	laws.justice.gc.ca, full text
Order fixing coming into force, SI/2023-70	Canada Gazette Part II
Safeguarding end-user funds, supervisory guideline	bankofcanada.ca
Payment service provider registry	bankofcanada.ca, PSP registry

Regulators, ombudsman and published findings

FSRA mortgage brokering sector supervision plan 2025-26	fsrao.ca
FSRA enforcement annual report, FY2024-25	fsrao.ca
CSA and CIRO Staff Notice 31-368	ciro.ca
RECO annual financial filing	reco.on.ca
FCAC annual report 2024-25	canada.ca
OBSI 2025 Annual Report	obsi.ca
Canadian Anti-Fraud Centre	antifraudcentre-centreantifraude.ca
FCA PS26/3, motor finance consumer redress scheme	fca.org.uk

Note. One figure often quoted in market material is deliberately absent: a claim that a majority of Canadian mortgage borrowers did not understand their mortgage. It could not be traced to a primary source, and the most recent CMHC Mortgage Consumer Survey characterises borrowers as having a strong understanding of what they can afford. Where a figure could not be verified it was left out rather than softened.